

Q1 Preview: AI Backlog Brings AWS Back in Focus

We view AMZN positioned for Q1 upside on AWS accel, resilient retail demand, & improving mgn. We anchor on AWS growth of ~25% y/y vs. ~28-30% bogey, w/ RPO growth likely seeing upside well over 40% y/y on AI-driven bookings momentum & better leading signals. Our '26 EBIT (\$102B, +145bps y/y) looks achievable as mgn expand on cost discipline (RIFs, tariff relief & logistics efficiency). At 11x EBITDA vs. WMT's 21x, AMZN offers attractive R/R into the print. Buy.

Compelling set-up. At 11x CY27E EV/EBITDA, AMZN remains deeply discounted, & well under WMT's ~21x & its own 10yr avg of 17x (FY2), even after a 19% rally post Q4 & on higher expectations. Entering the print w/ the easiest comp of the yr across segments + [Jassy's letter](#) confidence boost, we see potential for upward rev revisions driven by accelerating AWS momentum, increasingly pos. leading indicators (e.g. Anthropic & OAI commits), & durable consumer demand amid macro noise. While debates remain, our checks highlighted robust cloud strength w/ pricing leverage, strong Q1 e-comm & logistics-driven efficiency. Although Q1 guide absorbs \$1B of higher Leo costs, we see underlying trends (coupled w/ 16K RIF roll-out in late Jan) supporting EBIT towards high end (JEFe/ St EBIT \$21.4B/\$20.9B).

AWS acceleration strengthens into Q1. AWS comps turn 2 pts easier (17% in 1Q25 vs. 19% in 4Q24), with Q1 bogey ~28%-30% vs. JEFe/St at 25.2%/25.6%. Backlog growth should re-accel above 40% in Q1 despite +38% y/y in 4Q25 & 6pt tougher comps (1Q25/4Q24: 20%/14%) driven by sustained AI demand. Recent developments (Anthropic's \$100B AWS commit & 5GW of secured capacity + OAI's \$100B commit expansion) reinforce AWS as a core infra partner for frontier AI, supporting backlog visibility & LT capacity confidence. Field checks (Cloud call [recap](#), CIO AI [survey](#), cyber [check](#)) point to broad-based cloud strength, w/ AWS tracking inline, reinforcing a durable mid-20s AWS y/y growth for FY26 (JEFe raised to 25.5% vs. St. 25.5%). Our cloud expert noted accelerating Bedrock inference demand, w/ Opus-driven constraints enabling AWS pricing leverage. Longer term, Trainium should support better AI economics, though current capex keeps NT AWS mgn upside muted (Q1 EBIT mgn JEFe/St: 36%/35.6%), & we expect capex to flex as needed to support constrained capacity.

Retail holds amid macro drag. Our Q1 retail (ex-AWS) revenue of \$142B (+12% y/y) looks achievable on a 2-pt easier comp, arguably the best setup of the year. Consumer demand remains resilient, with e-comm checks pointing to a strong Q1 and bullish plans into '26. We model a healthy ~10% FY26 retail rev growth (vs. 11% in '25), with potential EBIT upside driven by fuel surcharge uplift, automation & fulfillment flywheel, tariff relief, and RIFs. Alongside a growing Ads business supported by AMZN DSP traction, we expect retail opm of 5.8% in Q1 (vs. 5.4%/7.0% in 1Q25/4Q25) & ~114 bps of margin expansion for the year. [Expert recaps, full preview table & more inside](#)

FY (Dec)	2024A	2025A	2026E	2027E
Rev. (MM)	637,959.0	716,924.0	808,022.0	905,088.0
EV/Rev	4.3x	3.8x	3.4x	3.0x
P/Rev	4.3x	3.9x	3.4x	3.1x
Cons. Rev.	-	694,939.0	762,090.0	884,256.0

ESTIMATE CHANGE	
RATING	BUY
PRICE	\$255.08*
PRICE TARGET % TO PT	\$300.00 +18%
52W HIGH-LOW	\$258.79 - \$178.85
FLOAT (%) ADV MM (USD)	89.9% 11,419.69
MARKET CAP	\$2.8T
TICKER	AMZN
*Prior trading day's closing price unless otherwise noted.	

FY (Dec)	CHANGE TO JEFe		JEF vs CONS	
	2026	2027	2026	2027
REV*	NM	+1%	+6%	+2%
	NA	NA	NA	NA

*Rev. (MM)

Exhibit 2 - Illustrative Graph: AWS Backlog vs. Net Sales y/y Growth

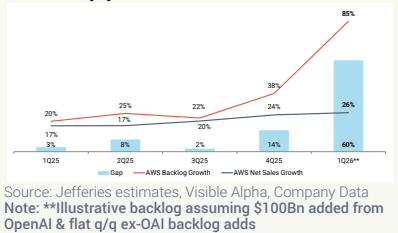


Exhibit 3 - AMZN Still Trades ~9 Turns Below WMT on NTM EV/EBITDA



Brent Thill * | Equity Analyst

(415) 229-1559 | bthill@jefferies.com

John Colantuoni * | Equity Analyst

1 (212) 778-8634 | jcolantuoni@jefferies.com

John Byun * | Equity Analyst

(415) 229-1558 | jbyun@jefferies.com

ShengQi Lin * | Equity Associate

+1 (212) 778-8504 | slin4@jefferies.com

Exhibit 1 - Preview Table: JEF vs. Street

	JEF	1Q26 Cons	Jef vs Cons	JEF	FY26 Cons	Jef vs Cons
Sales	177,803	\$177,360	0.2%	808,022	\$806,596	0.2%
% Y/Y Chg	14.2%	13.9%		12.7%	12.5%	
ex-F/X % Y/Y Chg	14.2%	-		12.7%	-	
Op Income, GAAP	21,410	\$20,920	2.3%	101,889	\$99,326	2.6%
% Margin	12.0%	11.8%		12.6%	12.3%	
bps YoY Chg	22 bps	(3)bps		145 bps	116 bps	
% Y/Y Chg	16.3%	13.7%		27.4%	24.2%	
EPS, GAAP	1.68	\$1.64	2.7%	7.88	\$7.72	2.1%
Segment Sales						
North America	102,733	\$102,073	0.6%	466,813	\$466,024	0.2%
% Y/Y Chg	10.6%	9.9%		9.5%	9.3%	
International	38,427	\$38,539	-0.3%	179,673	\$179,365	0.2%
% Y/Y Chg	14.7%	15.0%		11.0%	10.8%	
AWS	36,642	\$36,770	-0.3%	161,536	\$161,586	0.0%
% Y/Y Chg	25.2%	25.6%		25.5%	25.5%	

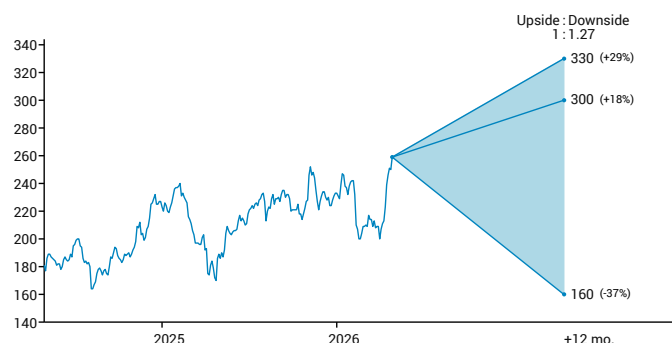
Source: Jefferies Estimates, Visible Alpha

The Long View: Amazon.com, Inc

Investment Thesis

- AMZN keeps gaining market share by reducing friction for shoppers (better selection, product availability, convenience)
- AMZN's ability to get purchases to consumers fast is a big differentiator that drives growth in existing and new categories
- The global AWS and advertising opportunities are driving overall revenue growth with corresponding margin accretion to the whole business
- Investment in AWS, content, and fulfillment supports expansion into new products, services, and geographies with sizable potential

Risk/Reward - 12 Month View



Base Case, \$300, +18%

- AMZN benefits across its entire ecosystem from behavioral changes resulting from the COVID pandemic
- Market leadership in fulfillment and Cloud Computing drives LT revenue growth and margin improvement
- Mix shift to 3P sales and faster growth of higher-margin businesses (AWS, advertising) drive margins up
- AWS growth accelerates
- Price target: \$300; based on 14.6x '27E EV/ EBITDA

Upside Scenario, \$330, +29%

- Faster margin improvement as more-profitable businesses scale
- Revenue growth accelerates, driven by unit growth
- Incremental margin improvement on slowing capex spend
- AWS growth materially accelerates.
- Upside price target: \$330; Based on 16.1x '27E EV/ EBITDA

Downside Scenario, \$160, -37%

- Geopolitical events disrupt international markets
- Continued investment pressures margins for longer than expected
- Higher digital content costs slowing margin improvement
- Inflationary costs pressures end up being more permanent
- Growth in high-margin business (AWS and advertising) decelerate faster than anticipated
- Chinese retailers like Temu, Shein and Tiktok impact AMZN in the U.S.
- Downside price target: \$160; Based on 7.7x '27E EV/ EBITDA

Sustainability Matters

Top Material Issue(s): 1) Customer Privacy: Risk management for personal information it is in possession of. This is a top issue for eCommerce companies like AMZN that collect and rely on user data to provide targeted advertisements. Regulators are increasingly focused on the depth and form of user data that is collected and used to target advertisements. **2) Data Security:** Risks associated with collection, use, retention, and disposal of confidential information. Like most Internet companies, AMZN has amassed large amounts of user data which can be used in harmful ways if exposed.

Company Target(s): 1) Co-founded The Climate Pledge, a commitment to reach net-zero carbon by 2040. **2)** Targeting to run operations with 100% renewable energy. **3)** Commitment to make 50% of Amazon shipments net-zero carbon by 2030.

Qs to Mgmt: 1) What processes have you put in place to ensure you achieve your targeted sustainability goals and how are you holding yourself accountable? **2)** What processes does AMZN have to protect its users' data? **3)** What steps AMZN is taking to improve employee safety and well-being?

Catalysts

- Faster growth from AWS and/or advertising business
- Deceleration in infrastructure build-out
- Expansion into new verticals like grocery

Raising Revenue Estimates

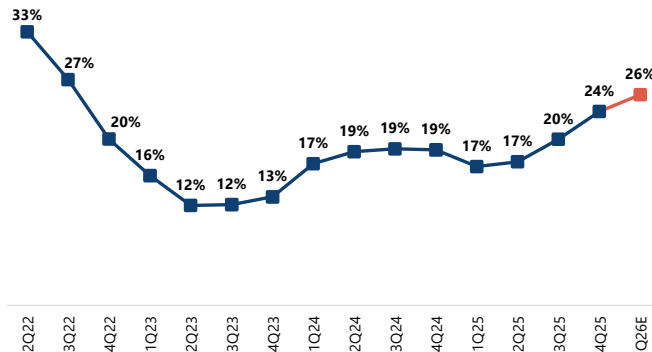
Following positive checks and incremental AWS headlines that reinforce our bullish AMZN conviction, we are raising FY26 rev estimates. As Anthropic's largest investor, with Amazon now adding \$5B upfront and up to \$20B more on top of its prior \$8B, and alongside an expanding OpenAI partnership, AWS appears well-positioned as a core infrastructure layer for scaling AI workloads, with Anthropic's \$100B+ AWS commitment and up to 5GW of secured capacity supporting backlog and longer-term capacity visibility. Changes as follows: total revenue to \$808B from \$804B (12.7% vs. 12.2% y/y), AWS net sales to \$161.5B from \$157.9B (25.5% vs. 23.0% y/y), EBIT to \$101.9B from \$102.9B (12.6% vs. 12.8% margin), and EPS to \$7.88 from \$7.95.

Exhibit 4 - Our SOTP Analysis Implies ~18% Upside to AMZN's Current Share Price

SOTP (Price Target)	Enterprise Value	Per Share Value	EV/Sales	EV/EBITDA	% of Total
			2027E	2027E	
AWS	\$1,272,209	\$117	6.3x	18x	39%
Advertising services	\$757,757	\$70	8.0x	16x	23%
Core retail (Online + 3P)	\$1,056,055	\$97	2.0x	11x	32%
Online stores	\$589,446	\$54	1.9x	10x	18%
Third-party seller services	\$466,609	\$43	2.2x	14x	14%
Subscription services	\$105,662	\$10	1.8x	16x	3%
Physical stores	\$4,349	\$0.4	0.2x	9x	0%
Other	\$5,487	\$0.5	0.8x	8x	0%
Enterprise Value	\$3,201,519	\$295	3.5x	14.5x	98%
Net Debt	(\$57,381)	(\$5)			
Equity Value	\$3,258,900	\$300			

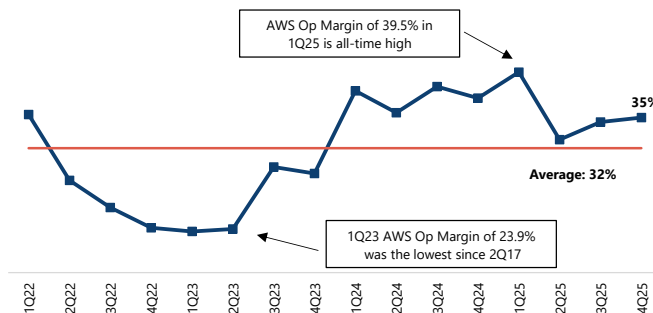
Source: Jefferies, Company Data

Exhibit 5 - AWS Revenue Growth y/y



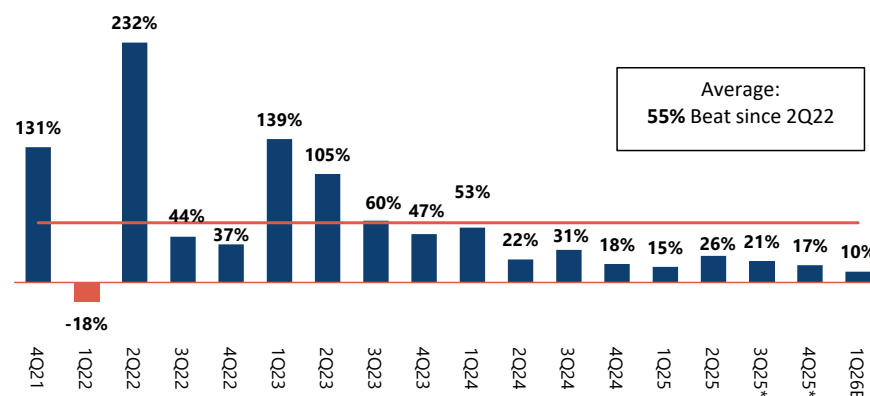
Source: Jefferies, Visible Alpha

Exhibit 6 - AWS Margin Maintained at 35% in Q4; Time For AMZN to Invest to Catch-Up?



Source: Jefferies, Company Data

Exhibit 7 - AMZN Has Beaten Op Income Guidance Mid-Point for the last 15 Qs



Source: Jefferies, Visible Alpha
*normalized for one-time charges

Expert Recaps

AMZN Logistics Expert Call Recap (see speaker bio [here](#)):

1) AMZN is out of the post-COVID excess capacity trough but not entering a true harvest phase yet, as our expert cited the company “at the bottom of the valley and coming out.” Most padlocked buildings are now open, with only a few idle assets and limited sublease interest remaining. He projects global supply chain square footage additions in 2027 to be ~35% higher than 2026, driven less by demand and more by network redesign. Roughly ~1/3 of retail CapEx is going toward new U.S. robotics-enabled fulfillment centers, with incremental spend shifting toward transportation, inbound regionalization, and throughput rather than 1P expansion. He emphasized AMZN's intent to be largely Amazon logistics controlled by 2030, steadily unwinding third-party carriers (UPS first), reinforcing a structurally higher capex posture.

2) While retail supply chain CapEx has normalized from COVID peaks, overall AMZN CapEx remains elevated due to AWS, which now absorbs the majority of investment. The expert estimates ~318 data centers today, expanding to ~470 over the next three years (~50% growth), supported by ~\$25B per year of AWS CapEx and a ~\$342B cumulative spend projected by 2040. Key bottlenecks include power and water availability, particularly outside the U.S. He sees no meaningful “offset” on the retail side to counterbalance AWS-driven investment intensity. As a result, AMZN is unlikely to reach maintenance-only Capex, reinforcing that the company remains structurally in an investment cycle rather than a harvest cycle.

3) Still bearish on grocery, pharmacy is the upside lever. Consistently, our expert argues that large-scale online grocery is structurally unprofitable due to high picking and delivery costs, even as AMZN disclosed \$150B+ grocery GMV in 2025. He views WMT as advantaged given its 3.8K supercenters, which enable profitable pickup, vs. AMZN's delivery-heavy model. The Orland Park, IL hybrid concept is reiterated as AMZN's only credible path forward if scaled, though likely margin dilutive. In contrast, he is more constructive on pharmacy embedded in SSD centers, with ~85-86 SSD sites adding ~1,500 sq ft per building for licensed pharmacy operations and enabling 1-3 hour delivery. He views pharmacy as a top-line positive with low incremental logistics cost, leveraging routes already in motion. On e-comm, the expert emphasized that AMZN remains roughly 5 years ahead of competitors technologically in online retail, particularly in deep-catalog fulfillment, speed, and logistics integration, even as peers like WMT have narrowed the gap in everyday consumables.

4) AMZN remains well ahead in warehouse automation, supported by ~1M in-house robots, but pushed back on automation as a near-term margin lever. Typical projects remove hundreds of roles but require additional technical staff and heavy depreciation, resulting in paybacks of ~14-15 years and often break-even economics. He was skeptical on drones, citing payload limits, safety concerns, limited geography, recent crashes, and staffing pullbacks, and does not see them as cost-effective at scale. Ground-based robotics (including a recent delivery robotics acquisition) are viewed as longer-dated optionality rather than an immediate solution. Automation is framed as necessary to offset looming labor shortages by ~2030, not to drive near-term margin upside.

AMZN E-commerce Expert Call Recap (see speaker bio [here](#)):

1) Strong Q1 start and consumer demand steady overall. Our expert characterized Q1 as “pretty strong” across the ~12 brands he advises. Performance was generally in-line with 2026 goals, with brands feeling confident exiting Q1 and a belief that conditions are more stable vs. recent years. The Spring Sale provided a modest lift, which is helpful for seasonal categories but not comparable to Prime Day. Looking ahead, Prime Day timing is an active watch item: he noted rumors it could shift earlier (late June vs. early July), which would mainly pull forward inventory + budget planning rather than change underlying demand. The expert is not seeing a meaningful shift in overall consumer demand yet, with no near-term shock despite recent macro and geopolitical noise. However, mid-price brands are seeing softer conversion without discounts, a trend he views as building over the past 12 months.

2) Seller fee creep is manageable for the expert's client, and AMZN is likely to keep the bar high. The expert acknowledged rising frustration around seller fees across the ecosystem, though his client base remains relatively insulated given stronger margin profiles. While most fee increases were directionally planned into 2026 P&Ls, incremental items (e.g., the fuel surcharge) have landed with less notice and disproportionately pressure lower-margin sellers, where media spend and promotions are often the first areas cut. He also noted added operational friction (e.g., limits on paying for ads via credit cards), which tightens cash flow for smaller operators. Overall, he expects continued fee creep as AMZN becomes more selective around seller quality and profitability, reinforcing its ability to push economics toward the platform while higher-quality brands remain anchored to AMZN given traffic concentration and conversion superiority.

3) Agentic commerce on the horizon, but limited impact. While increasingly on brands' radars, the expert emphasized that agentic commerce and AI are not yet a material driver of sales on AMZN. He was cautious on Rufus specifically, noting that it remains too early and too small to move the needle, with limited ability for brands or agencies to control placement or budget, and minimal data transparency from AMZN. While he expected Rufus to be further along by now, he suggested AMZN may be doing so deliberately amid broader industry sensitivity around ads embedded in AI responses. Bottom line, AI remains a strategic area of exploration, but NT outcomes continue to be driven by core retail fundamentals.

4) Advertising remains the growth lever. Our expert was constructive on overall advertising, with no evidence of budget compression across his client base following a strong Q1. Ad budgets are up y/y, CPCs are moving modestly higher with competition, and Sponsored Brand Video continues to see faster cost inflation due to constrained inventory. Returns remain solid for brands executing well, though reported ROAS can compress as spend shifts toward more incremental demand. On DSP, while he has not yet seen material reallocation among his clients, he flagged growing industry scrutiny around TTD (e.g., fee transparency and agency dynamics), which he expects could drive more budget toward AMZN DSP in future planning cycles, particularly as 2027 budgets reset.

AMZN Job Listing Data

Our proprietary job-posting analysis shows broad-based y/y growth across roles. While RIFs are still ongoing, we view this as a potential pivot toward new strategic priorities, particularly bolstering internal AI capabilities.

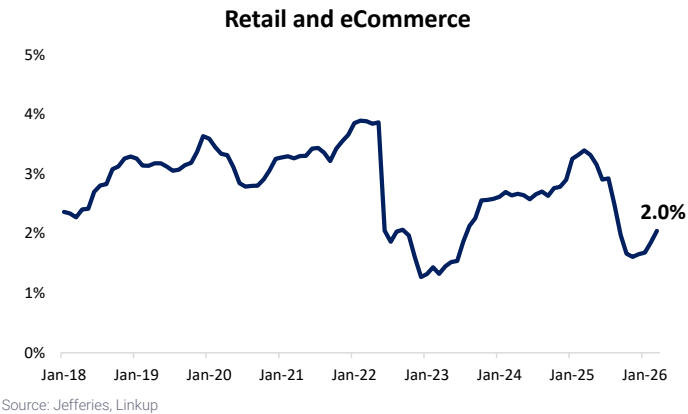
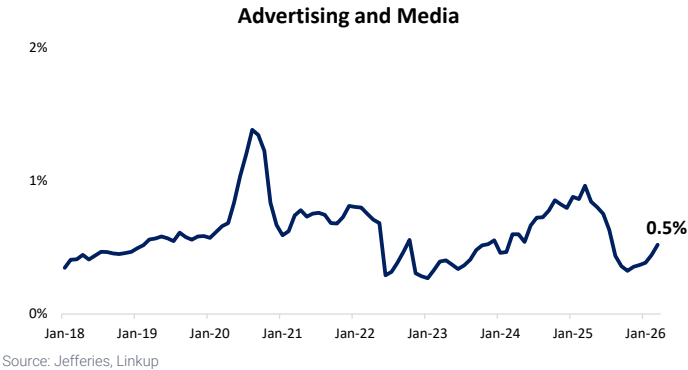
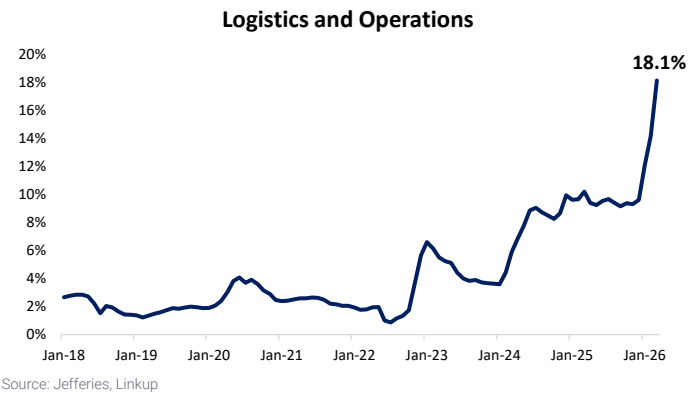
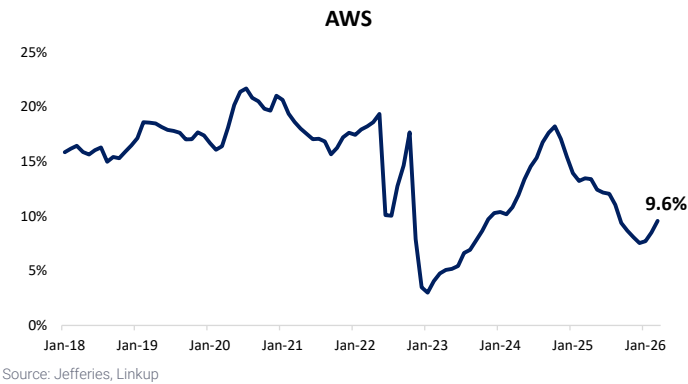


Chart 1 - Jefferies vs Street

	JEF	1Q26 Cons	Jef vs Cons	JEF	2Q26 Cons	Jef vs Cons	JEF	FY26 Cons	Jef vs Cons	JEF	FY27 Cons	Jef vs Cons
Sales	177,803	\$177,360	0.2%	189,308	\$188,961	0.2%	808,022	\$806,596	0.2%	905,088	\$903,161	0.2%
% Y/Y Chg	14.2%	13.9%		12.9%	12.7%		12.7%	12.5%		12.0%	12.0%	
ex-F/X % Y/Y Chg	14.2%	-		12.9%	-		12.7%	-		12.0%	-	
Op Income, GAAP	21,410	\$20,920	2.3%	23,550	\$22,860	3.0%	101,889	\$99,326	2.6%	127,091	\$124,993	1.7%
% Margin	12.0%	11.8%		12.4%	12.1%		12.6%	12.3%		14.0%	13.8%	
bps YoY Chg	22 bps	(3)bps		101 bps	67 bps		145 bps	116 bps		143 bps	153 bps	
% Y/Y Chg	16.3%	13.7%		22.8%	19.2%		27.4%	24.2%		24.7%	25.8%	
EPS, GAAP	1.68	\$1.64	2.7%	1.83	\$1.79	2.3%	7.88	\$7.72	2.1%	9.66	\$9.54	1.3%
Segment Sales												
North America	102,733	\$102,073	0.6%	109,474	\$109,533	-0.1%	466,813	\$466,024	0.2%	508,826	\$504,968	0.8%
% Y/Y Chg	10.6%	9.9%		9.4%	9.5%		9.5%	9.3%		9.0%	8.4%	
International	38,427	\$38,539	-0.3%	41,088	\$40,697	1.0%	179,673	\$179,365	0.2%	195,183	\$197,431	-1.1%
% Y/Y Chg	14.7%	15.0%		11.8%	10.7%		11.0%	10.8%		8.6%	10.1%	
AWS	36,642	\$36,770	-0.3%	38,746	\$38,920	-0.4%	161,536	\$161,586	0.0%	201,079	\$201,961	-0.4%
% Y/Y Chg	25.2%	25.6%		25.5%	26.1%		25.5%	25.5%		24.5%	25.0%	
Online Stores	62,574	\$62,558	0.0%	66,158	\$65,954	0.3%	289,654	\$288,696	0.3%	309,930	\$308,264	0.5%
% Y/Y Chg	9.0%	9.0%		7.6%	7.3%		7.6%	7.2%		7.0%	6.8%	
% Ex-F/X Chg	9.0%			7.6%			7.6%			7.0%		
3-year CAGR	7.0%			7.7%			7.7%			7.9%		
Physical Stores	5,810	\$5,840	-0.5%	5,836	\$5,873	-0.6%	23,455	\$23,721	-1.1%	24,158	\$24,819	-2.7%
% Y/Y Chg	5.0%	5.5%		4.3%	5.0%		4.0%	5.1%		3.0%	4.6%	
% Ex-F/X Chg	5.0%			4.3%			4.0%			3.0%		
3-year CAGR	5.9%			5.1%			5.4%			4.4%		
3P Seller Services	41,003	\$40,699	0.7%	44,383	\$44,524	-0.3%	189,371	\$190,476	-0.6%	208,308	\$208,759	-0.2%
% Y/Y Chg	12.3%	11.5%		10.0%	10.4%		10.0%	10.6%		10.0%	9.6%	
% Ex-F/X Chg	12.3%			10.0%			10.0%			10.0%		
3-year CAGR	11.2%			11.1%			10.6%			10.1%		
Subscription Services	13,332	\$13,099	1.8%	13,734	\$13,498	1.7%	55,588	\$54,937	1.2%	60,035	\$60,188	-0.3%
% Y/Y Chg	13.8%	11.8%		12.5%	10.6%		12.0%	10.7%		8.0%	9.6%	
% Ex-F/X Chg	13.8%			12.5%			12.0%			8.0%		
3-year CAGR	11.3%			11.6%			11.4%			10.6%		
Advertising Services	17,025	\$16,892	0.8%	18,833	\$18,746	0.5%	82,008	\$81,538	0.6%	94,720	\$94,975	-0.3%
% Y/Y Chg	22.3%	21.3%		20.0%	19.4%		19.5%	18.8%		15.5%	16.5%	
% Ex-F/X Chg	22.3%			20.0%			19.5%	-		15.5%	-	
3-year CAGR	21.4%			20.8%			20.5%	-		19.0%	-	
AWS	36,642	\$36,770	-0.3%	38,746	\$38,920	-0.4%	161,536	\$161,586	0.0%	201,079	\$201,961	-0.4%
% Y/Y Chg	25.2%	25.6%		25.5%	26.1%		25.5%	25.5%		24.5%	25.0%	
% Ex-F/X Chg	25.2%			25.5%			25.5%	-		24.5%	-	
3-year CAGR	19.7%			20.5%			21.2%	-		23.2%	-	
Other	1,417	\$1,455	-2.6%	1,619	\$1,566	3.4%	6,410	\$6,445	-0.5%	6,858	\$6,935	-1.1%
% Y/Y Chg	8.0%	10.9%		8.0%	4.5%		8.0%	8.6%		7.0%	7.6%	
% Ex-F/X Chg	8.0%			8.0%			8.0%			7.0%		
3-year CAGR	11.3%			6.4%			8.9%			8.1%		
Segment Op Income, GAAP												
North America	6,974	\$7,005	-0.5%	9,045	\$8,923	1.4%	36,821	\$38,589	-4.6%	45,223	\$46,808	-3.4%
% Margin	6.8%	6.9%		8.3%	8.1%		7.9%	8.3%		8.9%	9.3%	
bps YoY Chg	50 bps	57 bps		75 bps	63 bps		94 bps	133 bps		100 bps	99 bps	
% Y/Y Chg	19.4%	19.9%		20.3%	18.7%		24.3%	30.3%		22.8%	21.3%	
International	1,244	\$1,331	-6.5%	1,526	\$1,814	-15.9%	8,314	\$7,576	9.7%	11,190	\$11,451	-2.3%
% Margin	3.2%	3.5%		3.7%	4.5%		4.6%	4.2%		5.7%	5.8%	
bps YoY Chg	20 bps	42 bps		(35)bps	39 bps		169 bps	129 bps		111 bps	158 bps	
% Y/Y Chg	22.4%	30.9%		2.1%	21.4%		75.0%	59.5%		34.6%	51.2%	
AWS	13,191	\$13,106	0.7%	12,980	\$12,871	0.8%	56,754	\$55,869	1.6%	70,678	\$69,803	1.3%
% Margin	36.0%	35.6%		33.5%	33.1%		35.1%	34.6%		35.1%	34.6%	
bps YoY Chg	(345)bps	(381)bps		59 bps	16 bps		(30)bps	(85)bps		2 bps	(1)bps	
% Y/Y Chg	14.2%	13.5%		27.8%	26.7%		24.4%	22.5%		24.5%	24.9%	

Source: Jefferies Estimates, Company data, Visible Alpha

Exhibit 8 - AMZN Income Statement

Income Statement (AMZN) (\$ in Millions)	2025				2026E				2027E				2023	2024	2025	2026E	2027E
	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E					
Net sales, total	\$155,667	\$167,702	\$180,169	\$213,386	\$177,803	\$189,308	\$201,978	\$238,933	\$199,203	\$212,176	\$226,392	\$267,318	\$574,785	\$637,959	\$716,924	\$808,022	\$905,088
% y/y chg	9%	13%	13%	14%	14%	13%	12%	12%	12%	12%	12%	12%	12%	11%	12.4%	12.7%	12%
Cost of sales	76,976	80,809	88,670	109,959	87,551	90,657	98,385	121,915	97,078	100,321	108,899	134,772	304,739	326,288	356,414	398,508	441,070
Gross profit, GAAP	\$78,691	\$86,893	\$91,499	\$103,427	\$90,251	\$98,651	\$103,594	\$117,018	\$102,125	\$111,855	\$117,493	\$132,546	\$270,046	\$311,671	\$360,510	\$409,513	\$464,018
% Margin	50.6%	51.8%	50.8%	48.5%	50.8%	52.1%	51.3%	49.0%	51.3%	52.7%	51.9%	49.6%	47.0%	48.9%	50.3%	50.7%	51.3%
Fulfillment	\$24,593	\$25,976	\$27,679	\$30,826	\$28,023	\$29,241	\$30,599	\$34,225	\$30,748	\$32,084	\$33,552	\$37,411	\$90,619	\$98,505	\$109,074	\$122,087	\$133,794
Technology and content	22,994	27,166	28,962	29,399	26,421	30,185	31,972	32,437	29,179	33,382	35,132	35,456	85,622	88,544	108,521	121,014	133,149
Sales and marketing	9,763	11,416	11,686	14,264	11,355	12,610	12,882	15,714	12,448	13,837	14,139	17,222	44,370	43,907	47,129	52,561	57,645
General and administrative	2,628	2,965	2,875	2,704	3,044	3,064	3,023	2,831	3,175	3,188	3,121	2,856	11,816	11,359	11,172	11,962	12,339
Other operating expense (income)	308	199	2,875	1,257									767	763	4,639	0	0
Total operating expenses (ex COS)	60,286	67,722	74,077	78,450	68,842	75,100	78,476	85,206	75,549	82,490	85,944	92,945	233,194	243,078	280,535	307,625	336,927
Operating income (loss), GAAP	\$18,405	\$19,171	\$17,422	\$24,977	\$21,410	\$23,550	\$25,117	\$31,812	\$26,576	\$29,366	\$31,549	\$39,601	\$36,852	\$68,593	\$79,975	\$101,889	\$127,091
% Margin	11.8%	11.4%	9.7%	11.7%	12.0%	12.4%	12.4%	13.3%	13.3%	13.8%	13.9%	14.8%	6.4%	10.8%	11.2%	12.6%	14.0%
Interest income	1,066	1,085	1,100	1,130	1,086	855	794	780	801	790	716	699	2,949	4,677	4,381	3,514	3,007
Interest expense	(541)	(516)	(538)	(679)	(116)	(82)	(82)	(82)	(82)	(82)	(82)	(82)	(3,182)	(2,406)	(2,274)	(363)	(328)
Other income (expense), net	2,749	1,117	10,186	1,177	0	0	0	0	0	0	0	0	938	(2,250)	15,229	0	0
Total non-operating income (expense)	3,274	1,686	10,748	1,628	970	773	712	698	719	708	634	617	705	21	17,336	3,152	2,678
Earnings before taxes	21,679	20,857	28,170	26,605	22,379	24,323	25,829	32,510	27,295	30,074	32,183	40,218	37,557	68,614	97,311	105,041	129,770
Benefit (provision) for income taxes	(4,553)	(2,678)	(6,910)	(4,946)	(4,028)	(4,378)	(4,649)	(5,852)	(4,913)	(5,413)	(5,793)	(7,239)	(7,120)	(9,265)	(19,087)	(18,907)	(23,359)
Effective tax rate	21.0%	12.8%	24.5%	18.6%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	19.0%	13.5%	19.6%	18.0%	18.0%
Equity-method investment activity, net of tax	1	(15)	(73)	(467)	1	1	1	1	1	1	1	1	(12)	(101)	(554)	4	4
Net earnings (loss) to shareholders	\$17,127	\$18,164	\$21,187	\$21,192	\$18,352	\$19,946	\$21,181	\$26,659	\$22,383	\$24,662	\$26,391	\$32,980	\$30,425	\$59,248	\$77,670	\$86,137	\$106,415
Basic EPS, GAAP	\$1.62	\$1.71	\$1.98	\$1.98	\$1.71	\$1.85	\$1.96	\$2.47	\$2.07	\$2.27	\$2.43	\$3.03	\$2.95	\$5.65	\$7.29	\$7.99	\$9.80
Diluted EPS, GAAP	\$1.59	\$1.68	\$1.95	\$1.95	\$1.68	\$1.83	\$1.94	\$2.43	\$2.04	\$2.24	\$2.39	\$2.99	\$2.89	\$5.52	\$7.17	\$7.88	\$9.66
% y/y chg	62%	33%	37%	5%	6%	9%	(1%)	25%	21%	23%	24%	23%	(1,163%)	91%	30%	10%	23%
Basic Shares Outstanding, Average	10,603	10,637	10,674	10,709	10,741	10,761	10,781	10,801	10,821	10,841	10,861	10,881	10,318	10,487	10,659	10,774	10,854
Diluted Shares Outstanding, Average	10,793	10,806	10,845	10,863	10,901	10,921	10,941	10,961	10,981	11,001	11,021	11,041	10,529	10,729	10,829	10,934	11,014

Source: Jefferies Estimates, Company Data

Exhibit 9 - AMZN Balance Sheet

Balance Sheet (AMZN) (\$ in Millions)	2025				2026E											
	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	2021	2022	2023	2024	2025	2026E	2027E	
Cash and cash equivalents	\$66,207	\$57,741	\$66,922	\$86,810	\$68,641	\$70,584	\$64,962	\$76,186	\$36,220	\$53,888	\$73,387	\$78,779	\$86,810	\$76,186	\$80,747	
Marketable securities	28,358	35,439	27,275	36,219	36,219	36,219	36,219	36,219	59,829	16,138	13,393	22,423	36,219	36,219	36,219	
Inventories	35,864	40,825	41,494	38,325	38,970	41,492	44,269	44,514	32,640	34,405	33,318	34,214	38,325	44,514	61,520	
Accounts receivable, net and other	54,216	57,415	61,175	67,729	56,507	60,164	64,190	83,790	32,891	42,360	52,253	55,451	67,729	83,790	93,744	
Total current assets	\$184,645	\$191,420	\$196,866	\$229,083	\$200,337	\$208,458	\$209,640	\$240,709	\$161,580	\$146,791	\$172,351	\$190,867	\$229,083	\$240,709	\$272,230	
Property and equipment	272,781	297,616	324,435	357,025	378,380	406,796	437,005	473,291	160,281	186,715	204,177	252,665	357,025	473,291	604,527	
Operating leases	78,495	82,125	83,456	86,054	86,054	86,054	86,054	86,054	56,082	66,123	72,513	76,141	86,054	86,054	86,054	
Goodwill	23,089	23,155	23,260	23,273	23,273	23,273	23,273	23,273	15,371	20,288	22,789	23,074	23,273	23,273	23,273	
Other non-current assets	\$4,246	\$7,854	\$9,904	\$12,607	\$12,607	\$12,607	\$12,607	\$12,607	27,235	42,758	56,024	82,147	122,607	122,607	122,607	
Total assets	\$643,256	\$682,170	\$727,921	\$818,042	\$810,651	\$847,188	\$878,580	\$945,934	\$420,549	\$462,675	\$527,854	\$624,894	\$818,042	\$945,934	\$1,108,691	
Accounts payable	\$89,241	\$98,285	\$106,032	\$121,909	\$95,946	\$99,350	\$107,819	\$133,605	\$78,664	\$79,600	\$84,981	\$94,361	\$121,909	\$133,605	\$147,695	
Accrued expenses and other	66,331	66,974	68,051	75,520	71,121	75,723	74,732	83,627	51,775	62,566	64,709	66,965	75,520	83,627	93,561	
Unearned revenue	20,599	21,662	21,113	20,576	21,336	22,717	20,198	21,504	11,827	13,227	15,227	18,103	20,576	21,504	32,078	
Total current liabilities	\$176,171	\$186,921	\$195,196	\$218,005	\$188,404	\$197,790	\$202,749	\$238,736	\$142,266	\$155,393	\$164,917	\$179,431	\$218,005	\$238,736	\$273,335	
Long-term lease liabilities	79,871	83,221	84,677	87,339	87,339	87,339	87,339	87,339	67,651	72,968	77,297	78,277	87,339	87,339	87,339	
Long-term debt	53,374	50,718	50,742	65,648	65,648	65,648	65,648	65,648	48,744	67,150	58,314	52,623	65,648	65,648	65,648	
Other long-term liabilities	27,973	27,535	27,675	35,985	35,985	35,985	35,985	35,985	23,643	21,121	25,451	28,593	35,985	35,985	35,985	
Preferred stock	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	
Common stock	111	112	112	112	112	112	112	112	5	108	109	111	112	112	112	
Treasury stock, at cost	(7,837)	(7,837)	(7,837)	(7,837)	(7,837)	(7,837)	(7,837)	(7,837)	(1,837)	(7,837)	(7,837)	(7,837)	(7,837)	(7,837)	(7,837)	
Additional paid-in capital	124,514	130,823	135,679	140,024	143,882	151,087	156,339	161,046	55,538	75,066	99,025	120,864	140,024	161,046	182,790	
Accumulated other comprehensive loss	(9,141)	2,420	12,333	28,230	28,230	28,230	28,230	28,230	(1,376)	(4,487)	(3,040)	(34)	28,230	28,230	28,230	
Retained earnings (accumulated deficit)	189,993	208,157	229,344	250,536	268,888	288,834	310,014	336,673	85,915	83,193	113,618	172,866	250,536	336,673	443,089	
Shareholders equity	\$305,867	\$333,775	\$369,631	\$411,065	\$433,275	\$460,426	\$486,859	\$518,226	\$138,245	\$146,043	\$201,875	\$285,970	\$411,065	\$518,226	\$646,384	
Total liabilities and shareholder equity	\$643,256	\$682,170	\$727,921	\$818,042	\$810,651	\$847,188	\$878,580	\$945,934	\$420,549	\$462,675	\$527,854	\$624,894	\$818,042	\$945,934	\$1,108,691	

Source: Jefferies Estimates, Company Data

Exhibit 10 - AMZN Cash Flow Statement

(\$ in Millions)	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	
Net (loss) income	\$17,127	\$18,164	\$21,187	\$21,192	\$18,346	\$19,936	\$21,153	\$26,647	\$22,374	\$24,648	\$26,353	\$32,963	\$33,364	(\$2,722)	\$30,425	\$59,248	\$77,670	\$86,083	\$106,339	
Depreciation and amortization	14,262	15,227	16,796	19,471	18,418	19,451	21,225	24,658	20,534	21,693	23,674	27,453	34,296	41,676	48,663	52,795	65,756	83,752	93,354	
Share-based compensation	3,689	6,534	4,847	4,397	3,857	7,202	5,245	4,706	3,922	7,647	5,426	4,731	12,757	19,621	24,023	22,011	19,467	21,010	21,727	
Other operating expense (income), net	0	0	0	0	0	0	0	0	0	0	0	0	137	245	0	0	0	0	0	
Other expense (income), net	(2,817)	(1,258)	(10,112)	(693)	753	1,377	(2,334)	1,323	2,401	1,552	1,680	4,935	(14,306)	16,966	(748)	2,012	(14,880)	0	0	
Deferred income taxes	507	11	10,130	822	507	11	10,130	822	507	11	10,130	822	(310)	(8,148)	(5,876)	(4,648)	11,470	0	0	
Changes in assets and liabilities	(1,222)	(4,054)	(827)	3,101	(633)	(2,514)	(2,740)	(282)	(1,333)	(2,976)	(3,223)	(9,463)	(9,487)	(2,592)	1,449	(1,884)	(3,002)	(6,169)	(16,905)	
Inventories	(2,155)	(4,096)	(6,016)	(10,698)	11,240	(3,646)	(3,972)	(19,646)	13,921	(6,859)	(5,064)	(11,943)	(18,163)	(21,897)	(20,613)	(17,732)	(22,965)	(16,024)	(9,945)	
Accounts payable	(9,043)	7,058	2,151	11,065	(25,994)	3,387	8,377	25,868	(27,198)	3,533	9,288	28,453	3,602	2,945	5,473	2,972	11,231	11,637	14,076	
Accrued expenses and other	(4,061)	(4,952)	(1,999)	5,993	(4,422)	4,588	(1,052)	8,955	(3,937)	(1,190)	660	14,392	2,123	(1,558)	(2,428)	(2,904)	(5,019)	8,069	9,925	
Unearned revenue	729	(119)	(632)	(191)	753	1,377	(2,334)	1,323	2,401	1,552	1,680	4,935	2,314	2,216	4,578	4,007	(214)	918	10,588	
Net cash from operating activities	\$17,015	\$32,515	\$35,525	\$54,459	\$21,565	\$49,781	\$45,702	\$72,228	\$30,684	\$48,050	\$58,796	\$91,520	\$46,327	\$46,752	\$84,946	\$115,877	\$139,514	\$189,276	\$229,049	
Purchases of property and equipment	(25,019)	(32,183)	(35,095)	(39,522)	(39,765)	(47,854)	(51,395)	(60,928)	(44,749)	(53,737)	(57,712)	(68,296)	(61,053)	(63,645)	(52,729)	(82,999)	(131,819)	(199,941)	(224,494)	
Proceeds from property and equipment sales	764	815	867	1,053	764	815	867	1,053	764	815	867	1,053	764	815	867	1,053	815	867	1,053	
Acquisitions, net of cash acquired, and other	48	(1,700)	(786)	(1,403)	48	(1,700)	(786)	(1,403)	48	(1,700)	(786)	(1,403)	48	(1,700)	(786)	(1,403)	48	(1,700)	(786)	
Sale and maturities of marketable securities	7,737	11,441	16,367	8,841	7,737	11,441	16,367	8,841	7,737	11,441	16,367	8,841	7,737	11,441	16,367	8,841	7,737	11,441	16,367	
Purchases of marketable securities	(13,333)	(17,797)	(7,428)	(16,214)	(13,333)	(17,797)	(7,428)	(16,214)	(13,333)	(17,797)	(7,428)	(16,214)	(13,333)	(17,797)	(7,428)	(16,214)	(13,333)	(17,797)	(7,428)	
Net cash from investing activities	(\$29,883)	(\$39,424)	(\$26,073)	(\$47,245)	(\$39,765)	(\$47,854)	(\$51,395)	(\$60,928)	(\$44,749)	(\$53,737)	(\$57,712)	(\$68,296)	(\$58,154)	(\$37,601)	(\$45,833)	(\$84,342)	(\$142,545)	(\$199,941)	(\$224,494)	
Common stock repurchase	0	0	0	0	0	0	0	0	0	0	0	0	0	(6,000)	0	0	0	0	0	
Proceeds from short-term debt, and other	1,815	2,093	3,223	2,189	1,815	2,093	3,223	2,189	1,815	2,093	3,223	2,189	1,815	2,093	3,223	2,189	1,815	2,093	3,223	
Repayment of short-term debt, and other	(2,082)	(1,392)	(1,528)	(3,126)	(2,082)	(1,392)	(1,528)	(3,126)	(2,082)	(1,392)	(1,528)	(3,126)	(2,082)	(1,392)	(1,528)	(3,126)	(2,082)	(1,392)	(1,528)	
Proceeds from long-term debt	746	0	0	14,927	746	0	0	14,927	746	0	0	14,927	746	0	0	14,927	746	0	0	
Repayments of long-term debt	0	(2,751)	(1,008)	(1,262)	0	(2,751)	(1,008)	(1,262)	0	(2,751)	(1,008)	(1,262)	0	(2,751)	(1,008)	(1,262)	0	(2,751)	(1,008)	
Unlevered payments on finance leases	(410)	(411)	(351)	(385)	(410)	(411)	(351)	(385)	(410)	(411)	(351)	(385)	(410)	(411)	(351)	(385)	(410)	(411)	(351)	
Principal repayments of financing obligations	(116)	(78)	(82)	(52)	(116)	(78)	(82)	(52)	(116)	(78)	(82)	(52)	(116)	(78)	(82)	(52)	(116)	(78)	(82)	
Dividends paid	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	
Net cash from financing activities	(\$47)	(\$2,539)	(\$44)	\$12,291	(\$47)	(\$2,539)	(\$44)	\$12,291	(\$47)	(\$2,539)	(\$44)	\$12,291	(\$47)	(\$2,539)	(\$44)	\$12,291	(\$47)	(\$2,539)	(\$44)	
Effect of exchange rate changes	416	1,008	(397)	137	416	1,008	(397)	137	416	1,008	(397)	137	416	1,008	(397)	137	416	1,008	(397)	137
Net increase in cash and equivalents	(\$12,441)	(\$8,440)	\$9,011	\$19,642	(\$12,441)	(\$8,440)	\$9,011	\$19,642	(\$12,441)	(\$8,440)	\$9,011	\$19,642	(\$12,441)	(\$8,440)	\$9,011	\$19,642	(\$12,441)	(\$8,440)	\$9,011	
Cash and equivalents, beginning of period	\$82,312	\$69,893	\$61,453	\$70,464	\$82,312	\$69,893	\$61,453	\$70,464	\$82,312	\$69,893	\$61,453	\$70,464	\$82,312	\$69,893	\$61,453	\$70,464	\$82,312	\$69,893	\$61,453	
Cash and equivalents, end of period	\$69,893	\$61,453	\$70,464	\$90,106	\$69,893	\$61,453	\$70,464	\$90,106	\$69,893	\$61,453	\$70,464	\$90,106	\$69,893	\$61,453	\$70,464	\$90,106	\$69,893	\$61,453	\$70,464	

Source: Jefferies Estimates, Company Data

Company Description

Amazon.com, Inc

Amazon is a leading e-commerce player in the United States with a large and growing presence in international markets. The company offers a large selection across dozens of product categories and reports revenues into 3 segments: North America, International, and AWS, its Cloud Computing business.

Company Valuation/Risks

Amazon.com, Inc

Valuation: Our \$300 PT is based on ~14.6x 2027E EV/EBITDA. **Risks:** Ongoing need to invest keeps a lid on margin expansion; regulatory pressure leads to increasing costs; macroeconomic headwinds cause top-line growth to slow.

Walmart Inc.

Our \$145 PT is based on a blended average of F'28E EPS of \$3.23; ~45.5x P/E, ~23x EV/EBITDA. Risks include grocery price investment/competition, continued fulfillment investment/inability to improve e-commerce margins, failure to capture margin expansion from higher-margin revenue streams (e.g., advertising, 3P marketplace), and inflation/deflation swings (including wage inflation/investments).

Analyst Certification:

I, Brent Thill, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

I, John Colantuoni, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

I, John Byun, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

I, ShengQi Lin, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

As is the case with all Jefferies employees, the analyst(s) responsible for the coverage of the financial instruments discussed in this report receives compensation based in part on the overall performance of the firm, including investment banking income. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Aside from certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgement.

Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

Recommendation Published	April 26, 2026 13:03 P.M.
Recommendation Distributed	April 26, 2026 13:10 P.M.

Company Specific Disclosures

Rayyan Matraji owns shares of Amazon.com common stock.

Steven DeSanctis owns shares of Amazon.com common shares.

Explanation of Jefferies Ratings

Buy - Describes securities that we expect to provide a total return (price appreciation plus yield) of 15% or more within a 12-month period.

Hold - Describes securities that we expect to provide a total return (price appreciation plus yield) of plus 15% or minus 10% within a 12-month period.

Underperform - Describes securities that we expect to provide a total return (price appreciation plus yield) of minus 10% or less within a 12-month period.

The expected total return (price appreciation plus yield) for Buy rated securities with an average security price consistently below \$10 is 20% or more within a 12-month period as these companies are typically more volatile than the overall stock market. For Hold rated securities with an average security price consistently

below \$10, the expected total return (price appreciation plus yield) is plus or minus 20% within a 12-month period. For Underperform rated securities with an average security price consistently below \$10, the expected total return (price appreciation plus yield) is minus 20% or less within a 12-month period.

NR - The investment rating and price target have been temporarily suspended. Such suspensions are in compliance with applicable regulations and/or Jefferies policies.

CS - Coverage Suspended. Jefferies has suspended coverage of this company.

NC - Not covered. Jefferies does not cover this company.

Restricted - Describes issuers where, in conjunction with Jefferies engagement in certain transactions, company policy or applicable securities regulations prohibit certain types of communications, including investment recommendations.

Monitor - Describes securities whose company fundamentals and financials are being monitored, and for which no financial projections or opinions on the investment merits of the company are provided.

Valuation Methodology

Jefferies' methodology for assigning ratings may include the following: market capitalization, maturity, growth/value, volatility and expected total return over the next 12 months. The price targets are based on several methodologies, which may include, but are not restricted to, analyses of market risk, growth rate, revenue stream, discounted cash flow (DCF), EBITDA, EPS, cash flow (CF), free cash flow (FCF), EV/EBITDA, P/E, PE/growth, P/CF, P/FCF, premium (discount)/average group EV/EBITDA, premium (discount)/average group P/E, sum of the parts, net asset value, dividend returns, and return on equity (ROE) over the next 12 months.

Jefferies Franchise Picks

Jefferies Franchise Picks include stock selections from among the best stock ideas from our equity analysts over a 12 month period. Stock selection is based on fundamental analysis and may take into account other factors such as analyst conviction, differentiated analysis, a favorable risk/reward ratio and investment themes that Jefferies analysts are recommending. Jefferies Franchise Picks will include only Buy rated stocks and the number can vary depending on analyst recommendations for inclusion. Stocks will be added as new opportunities arise and removed when the reason for inclusion changes, the stock has met its desired return, if it is no longer rated Buy and/or if it triggers a stop loss. Stocks having 120 day volatility in the bottom quartile of S&P stocks will continue to have a 15% stop loss, and the remainder will have a 20% stop. Franchise Picks are not intended to represent a recommended portfolio of stocks and is not sector based, but we may note where we believe a Pick falls within an investment style such as growth or value.

Risks which may impede the achievement of our Price Target

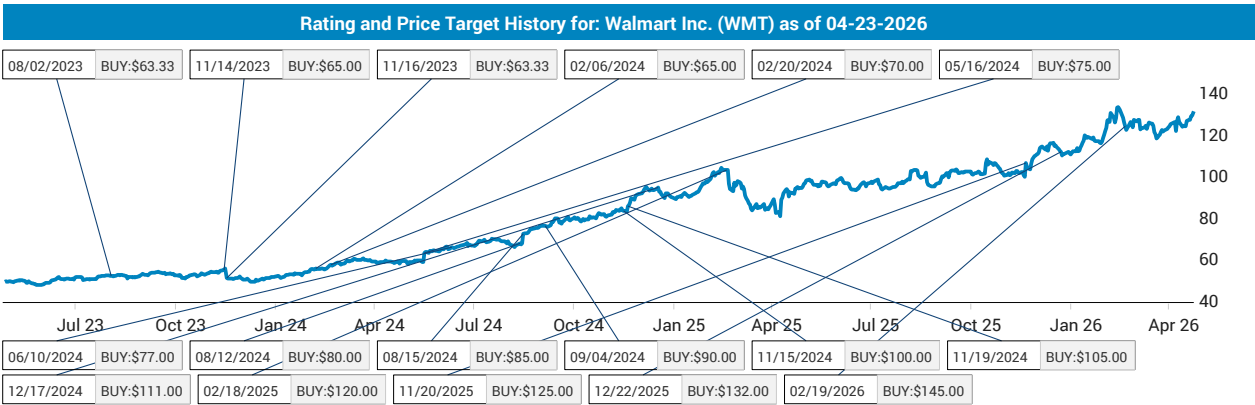
This report was prepared for general circulation and does not provide investment recommendations specific to individual investors. As such, the financial instruments discussed in this report may not be suitable for all investors and investors must make their own investment decisions based upon their specific investment objectives and financial situation utilizing their own financial advisors as they deem necessary. Past performance of the financial instruments recommended in this report should not be taken as an indication or guarantee of future results. The price, value of, and income from, any of the financial instruments mentioned in this report can rise as well as fall and may be affected by changes in economic, financial and political factors. If a financial instrument is denominated in a currency other than the investor's home currency, a change in exchange rates may adversely affect the price of, value of, or income derived from the financial instrument described in this report. To the extent prices are shown in non-US currency, please note that our local currency price targets are based on a currency conversion using an exchange rate as of the prior trading day (unless otherwise noted). Should there be fluctuations in the exchange rate after this date, that will affect the non-US target prices and should no longer be relied upon. In addition, investors in securities such as ADRs, whose values are affected by the currency of the underlying security, effectively assume currency risk.

Other Companies Mentioned in This Report

- Amazon.com, Inc (AMZN: \$255.08, BUY)
- Walmart Inc. (WMT: \$129.92, BUY)



Steven DeSanctis owns shares of Amazon.com common shares.



Notes: Each box in the Rating and Price Target History chart above represents actions over the past three years in which an analyst initiated on a company, made a change to a rating or price target of a company or discontinued coverage of a company.

Legend:

I: Initiating Coverage

D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

Distribution of Ratings

			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2181	61.94%	368	16.87%	110	5.04%
HOLD	1182	33.57%	104	8.80%	17	1.44%
UNDERPERFORM	158	4.49%	1	0.63%	1	0.63%

Other Important Disclosure

Other Important Disclosures

Jefferies does business and seeks to do business with companies covered in its research reports, and expects to receive or intends to seek compensation for investment banking services among other activities from such companies. As a result, investors should be aware that Jefferies may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.

Jefferies Equity Research refers to research reports produced by analysts employed by one of the following Jefferies Financial Group Inc. ("Jefferies") companies:

United States: Jefferies LLC which is an SEC registered broker-dealer and a member of FINRA (and distributed by Jefferies Research Services, LLC, an SEC registered Investment Adviser, to clients paying separately for such research).

Canada: Jefferies Securities Inc., which is an investment dealer registered in each of the thirteen Canadian jurisdictions and a dealer member of the Canadian Investment Regulatory Organization, including research reports produced jointly by Jefferies Securities Inc. and another Jefferies entity (and distributed by Jefferies Securities Inc.).

Where Jefferies Securities Inc. distributes research reports produced by Jefferies LLC, Jefferies International Limited, Jefferies (Japan) Limited, Tokyo Branch or Jefferies India Private Limited, you are advised that each of Jefferies LLC, Jefferies International Limited, Jefferies (Japan) Limited, Tokyo Branch and Jefferies India Private Limited operates as a dealer in your jurisdiction under an exemption from the dealer registration requirements contained in National Instrument 31-103 Registration Requirements, Exemptions and Ongoing Registrant Obligations and, as such, each of Jefferies LLC, Jefferies International Limited, Jefferies (Japan) Limited, Tokyo Branch and Jefferies India Private Limited is not required to be and is not a registered dealer or adviser in your jurisdiction. You are advised that where Jefferies LLC or Jefferies International Limited prepared this research report, it was not prepared in accordance with Canadian disclosure requirements relating to research reports in Canada.

United Kingdom: Jefferies International Limited, which is authorized and regulated by the Financial Conduct Authority; registered in England and Wales No. 1978621; registered office: 100 Bishopsgate, London EC2N 4JL; telephone +44 (0)20 7029 8000; facsimile +44 (0)20 7029 8010.

Germany: Jefferies GmbH, which is authorized and regulated by the Bundesanstalt fuer Finanzdienstleistungsaufsicht, BaFin-ID: 10150151; registered office: Bockenheimer Landstr. 24, 60323 Frankfurt a.M., Germany; telephone: +49 (0) 69 719 1870

Hong Kong: Jefferies Hong Kong Limited, which is licensed by the Securities and Futures Commission of Hong Kong with CE number ATS546; located at Level 26, Two International Finance Center, 8 Finance Street, Central, Hong Kong; telephone: +852 3743 8000.

Singapore: Jefferies Singapore Limited, which is licensed by the Monetary Authority of Singapore; located at 10 Collyer Quay #41-01, Ocean Financial Centre, Singapore 049315, telephone: +65 6551 3950.

Japan: Jefferies (Japan) Limited, Tokyo Branch, which is a securities company registered by the Financial Services Agency of Japan and is a member of the Japan Securities Dealers Association; located at Tokyo Midtown Hibiya 30F Hibiya Mitsui Tower, 1-1-2 Yurakucho, Chiyoda-ku, Tokyo 100-0006; telephone +813 5251 6100; facsimile +813 5251 6101.

India: Jefferies India Private Limited (CIN - U74140MH2007PTC200509), licensed by the Securities and Exchange Board of India for: Stock Broker (NSE & BSE) INZ000243033, Research Analyst INH000000701 and Merchant Banker INM000011443, located at Level 16, Express Towers, Nariman Point, Mumbai 400 021, India; Tel +91 22 4356 6000. Compliance Officer name: Sanjay Pai, Tel No: +91 22 42246150, Email: spai@jefferies.com, Grievance officer name: Sanjay Pai, Tel no. +91 22 42246150, Email: compliance_india@jefferies.com. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors.

Australia: Jefferies (Australia) Pty Limited (ACN 623 059 898), which holds an Australian financial services license (AFSL 504712) and is located at Level 20, 60 Martin Place, Sydney NSW 2000; telephone +61 2 9364 2800.

Dubai: Jefferies International Limited, Dubai branch, which is licensed by the Dubai Financial Services Authority (DFSA Reference Number F007325); registered office Unit L31-06, L31-07, Level 31, ICD Brookfield Pace, DIFC, PO Box 121208, Dubai, UAE.

This report was prepared by personnel who are associated with Jefferies (Jefferies Securities Inc., Jefferies International Limited, Jefferies GmbH, Jefferies Hong Kong Limited, Jefferies Singapore Limited, Jefferies (Japan) Limited, Tokyo Branch, Jefferies India Private Limited), and Jefferies (Australia) Pty Ltd; or by personnel who are associated with both Jefferies LLC and Jefferies Research Services LLC ("JRS"). Jefferies LLC is a US registered broker-dealer and is affiliated with JRS, which is a US registered investment adviser. JRS does not create tailored or personalized research and all research provided by JRS is impersonal. If you are paying separately for this research, it is being provided to you by JRS. Otherwise, it is being provided by Jefferies LLC. Jefferies LLC, JRS, and their affiliates are collectively referred to below as "Jefferies". Jefferies may seek to do business with companies covered in this research report. As a result, investors should be aware that Jefferies may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only one of many factors in making their investment decisions. Specific conflict of interest and other disclosures that are required by FINRA, the Canadian Investment Regulatory Organization and other rules are set forth in this disclosure section.

If you are receiving this report from a non-US Jefferies entity, please note the following: Unless prohibited by the provisions of Regulation S of the U.S. Securities Act of 1933, as amended, this material is distributed in the United States by Jefferies LLC, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6 under the US Securities Exchange Act of 1934, as amended. Transactions by or on behalf of any US person may only be effected through Jefferies LLC. In the United Kingdom and European Economic Area this report is issued and/or approved for distribution by Jefferies International Limited ("JIL") and/or Jefferies GmbH and is intended for use only by persons who have, or have been assessed as having, suitable professional experience and expertise, or by persons to whom it can be otherwise lawfully distributed. Jefferies LLC, JIL, Jefferies GmbH and their affiliates, may make a market or provide liquidity in the financial instruments referred to in this report; and where they do make a market, such activity is disclosed specifically in this report under "company specific disclosures".

For Canadian investors, this material is intended for use only by professional or institutional investors. None of the investments or investment services mentioned or described herein is available to other persons or to anyone in Canada who is not a "permitted client" as defined by National Instrument 31-103 Registration Requirements, Exemptions and Ongoing Registrant Obligations, as applicable. This research report is a general discussion of the merits and risks of a security or securities only, and is not in any way meant to be tailored to the needs and circumstances of any recipient. The information contained herein is not, and under no circumstances is to be construed as, an offer to sell securities described herein, or solicitation of an offer to buy securities described herein, in Canada or any province or territory thereof. Any offer or sale of the securities described herein in Canada will be made only under an exemption from the requirements to file a prospectus with the relevant Canadian securities regulators, if applicable, and only by a dealer properly registered under applicable securities laws or, alternatively, pursuant to an exemption from the dealer registration requirement in the relevant province or territory of Canada in which such offer or sale is made. The information contained herein is under no circumstances to be construed as investment advice in any province or territory of Canada and is not tailored to the needs of the recipient. To the extent that the information contained herein references securities of an issuer incorporated, formed or created under the laws of Canada or a province or territory of Canada, any trades in such securities must be conducted through a dealer registered in Canada. No securities commission or similar regulatory authority in Canada has reviewed or in any way passed judgment upon this research report, the information contained herein or the merits of the securities described herein, and any representation to the contrary is an offence.

In Singapore, Jefferies Singapore Limited ("JSL") is regulated by the Monetary Authority of Singapore. For investors in the Republic of Singapore, where this material is prepared and issued by a Jefferies affiliate outside of Singapore, it is distributed by JSL pursuant to Regulation 32C of the Financial Advisers Regulations. The material contained in this document is intended solely for accredited, expert or institutional investors, as defined under the Securities and Futures Act 2001 (Singapore). If there are any matters arising from, or in connection with this material, please contact JSL, located at 80 Raffles Place #15-20, UOB Plaza 2, Singapore 048624, telephone: +65 6551 3950. In Dubai, this material is issued and distributed by Jefferies International Limited, Dubai branch, and is intended solely for Professional Clients and should not be distributed to, or relied upon by, Retail Clients (as defined by DFSA). A distribution of ratings in percentage terms in each sector covered is available upon request from your sales representative. In Japan, this material is issued and distributed by Jefferies (Japan) Limited to institutional investors only. In Hong Kong, this report is issued and approved by Jefferies Hong Kong Limited and is intended for use only by professional investors as defined in the Hong Kong Securities and Futures Ordinance and its subsidiary legislation. In the Republic of China (Taiwan), this report should not be distributed. The research in relation to this report is conducted outside the People's Republic of China ("PRC"). This report does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. In India, this report is made available by Jefferies India Private Limited. In Australia, this report is issued and/or approved for distribution by, or on behalf of, Jefferies (Australia) Securities Pty Ltd (ACN 610 977 074), which holds an Australian financial services license (AFSL 487263). It is directed solely at wholesale clients within the meaning of the Corporations Act 2001 (Cth) of Australia (the "Corporations Act"), in connection with their consideration of any investment or investment service that is the subject of this report. This report may contain general financial product advice. Where this report refers to a particular financial product, you should obtain a copy of the relevant product disclosure statement or offer document before making any decision in relation to the product. Recipients of this document in any other jurisdictions should inform themselves about and observe any applicable legal requirements in relation to the receipt of this document. This report is not an offer or solicitation of an offer to buy or sell any security or derivative instrument, or to make any investment. Any opinion or estimate constitutes the preparer's best judgment as of the date of preparation, and is subject to change without notice. Jefferies assumes no obligation to maintain or update this report based on subsequent information and events. Jefferies, and their respective officers, directors, and employees, may have long or short positions in, or may buy or sell any of the securities, derivative instruments or other investments mentioned or described herein, either as agent or as principal for their own account. This material is provided solely for informational purposes and is not tailored to any recipient, and is not based on, and does not take into account, the particular investment objectives, portfolio holdings, strategy, financial situation, or needs of any recipient. As such, any advice or recommendation in this report may not be suitable for a particular recipient. Jefferies assumes recipients of this report are capable of evaluating the information contained herein and of exercising independent judgment. A recipient of this report should not make any investment decision without first considering whether any advice or recommendation in this report is suitable for the recipient based on the recipient's particular circumstances and, if appropriate or otherwise needed, seeking professional advice, including tax advice. Jefferies does not perform any suitability or other analysis to check whether an investment decision made by the recipient based on this report is consistent with a recipient's investment objectives, portfolio holdings, strategy, financial situation, or needs.

By providing this report, neither JRS nor any other Jefferies entity accepts any authority, discretion, or control over the management of the recipient's assets. Any action taken by the recipient of this report, based on the information in the report, is at the recipient's sole judgment and risk. The recipient must perform his or her own independent review of any prospective investment. If the recipient uses the services of Jefferies LLC (or other affiliated broker-dealers), in connection with a purchase or sale of a security that is a subject of these materials, such broker-dealer may act as principal for its own accounts or as agent for another person. Only JRS is registered with the SEC as an investment adviser; and therefore neither Jefferies LLC nor any other Jefferies affiliate has any fiduciary duty in connection with distribution of these reports.

The price and value of the investments referred to herein and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

This report may contain forward looking statements that may be affected by inaccurate assumptions or by known or unknown risks, uncertainties, and other important factors. As a result, the actual results, events, performance or achievements of the financial product may be materially different from those expressed or implied in such statements.

This report has been prepared independently of any issuer of securities mentioned herein and not as agent of any issuer of securities. No Equity Research personnel have authority whatsoever to make any representations or warranty on behalf of the issuer(s). Any comments or statements made herein are those of the Jefferies entity producing this report and may differ from the views of other Jefferies entities.

This report may contain information obtained from third parties, including ratings from credit ratings agencies such as Standard & Poor's, and information derived from third-party or proprietary generative artificial intelligence (Gen AI) models. Jefferies does not guarantee the accuracy, completeness, timeliness or availability of this information, and is not responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use of such content. Neither Jefferies nor any third-party content providers, including providers of Gen AI models, give any express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Neither Jefferies nor any third-party content provider shall be liable for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase, hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice. Reproduction and distribution of third party content in any form is prohibited except with the prior written permission of the related third party.

Jefferies research reports are disseminated and available electronically, and, in some cases, also in printed form. Electronic research is simultaneously made available to all clients. This report or any portion hereof may not be copied, reprinted, sold, or redistributed or disclosed by the recipient or any third party, by content scraping or extraction, automated processing, or any other form or means, without the prior written consent of Jefferies. Any unauthorized use is prohibited. Neither Jefferies nor any of its respective directors, officers or employees, is responsible for guaranteeing the financial success of any investment, or accepts any liability whatsoever for any direct, indirect or consequential damages or losses arising from any use of this report or its contents. Nothing herein shall be construed to waive any liability Jefferies has under applicable U.S. federal or state securities laws.

For Important Disclosure information relating to JRS, please see https://adviserinfo.sec.gov/IAPD/Content/Common/crd_iapd_Brochure.aspx?BRCHR_VRSN_ID=483878 and <https://adviserinfo.sec.gov/Firm/292142> or visit our website at <https://javatar.bluematrix.com/sellside/Disclosures.action>, or www.jefferies.com, or call 1.888.JEPPERIES.

© 2026 Jefferies